

many of the same trades as a trend follower, but the timing is going to be very different.

Do you trade equity indexes or equities?

Equity indexes and baskets, yes, but not that much.

Why aren't you a fan of trading equities?

Interest rate markets or FX are usually better ways for me to express trades. The world is full of people who trade equities. I don't think another hedge fund that trades equities is particularly exciting. Also, a problem I have with equities is that equity stories make no sense to me. Equity people often make no sense to me. The reasons I think trades have worked are usually nothing like the reasons why equity people think they worked. In my entire life, I've personally only done one single-stock trade.

Out of curiosity, because it was the only one, what was it?

I bought Berkshire in 1999.

And that was because?

The price had halved because Buffett refused to be involved in the dot-com bubble. I thought that was the stupidest reason I had ever heard for a stock price to halve. Nasdaq is going through the roof. Warren Buffett, who is clearly one of the all-time legends of investing, is saying I don't understand this dot-com stuff; I'm staying away from it. And his stock price gets hammered because he's seen as a dinosaur that isn't part of the new paradigm. I thought that was idiotic.

Buffett being penalized for underperforming versus managers riding the long side of the dot-com bubble is a perfect illustration of a common investor mistake—failing to realize that often the managers with the highest returns achieve those results because they're taking the most risk, not because they have the greatest skill. How long did you hold the position?

Until I started my hedge fund. I believed in myself more than I believed in Warren Buffett.